

an ally of family money—but also an enemy. You have to do all you can to reduce the deleterious effects of time by cutting out any unnecessary, recurrent expenses.

So how do you avoid high state and local taxes? Easy. You move. You expatriate.

Expatriation is most frequently discussed in its more radical form: leaving the country. We'll get to that in a minute. In a word, we're in favor of it. Europeans and other nationalities do it all the time. But it's a bigger move for Americans because they can't just move out to avoid U.S. taxes. They also have to give up their U.S. citizenship. Not many people are willing to do that. And it's not a good idea—for most people.

But there's also unradical expatriation. You can simply move out of your high-tax state to a low-tax state. No law against it. Fairly easy to do. No need to learn a foreign language or drive on the wrong side of the road. Heck, you might also get a lifestyle improvement.

For example, part of the reason tax rates in Baltimore are so high is that until 2010, the state had a special 6.25 percent tax on “millionaires.” The tax was imposed for the usual reason. The spendthrifts in the state legislature ran over their budget. They decided that they could squeeze the rich who, according to the governor, were “willing and able to pay their fair share.” The *Baltimore Sun* predicted that they would “grin and bear it.”¹

Interestingly, the state does have the second highest millionaire total in the nation. Which is not exactly surprising, considering that the federal government is the biggest, richest, highest-margin growth industry in the country and that Washington, D.C., is surrounded on three sides by Maryland.

In 2008, the first year the new tax was imposed, there were about 3,000 million-dollar tax returns filed in the state. The following year there were only about 2,000. The financial crisis surely knocked out some of them. But a few hundred probably decamped for less costly tax jurisdictions.

In our own family, for example, we now have three Florida residents. A few years ago, we had none. They get better weather. And they save nearly 10 percent on their taxes. We wouldn't be surprised to see a few more people move down there soon. Moving overseas works, too. You may not